

Northvale Demo Bank

Credit Policy Manual

Effective January 1, 2026

This Manual establishes the Bank's lending principles, scoring criteria, approval tiers, exception handling, and monitoring obligations for all retail credit products including unsecured personal loans, residential mortgages, home equity lines of credit (HELOCs), and auto loans.

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1. Credit Principles

The Bank shall extend credit only where the Borrower demonstrates the willingness and capacity to repay. Willingness is evidenced by credit history (FICO score, derogatory items, payment patterns). Capacity is evidenced by income, employment stability, and Debt-to-Income (DTI) ratio. Collateral is considered a secondary repayment source and shall not substitute for inadequate capacity.

Every credit decision shall be documented with a written rationale that addresses (a) the Borrower's character and credit history, (b) capacity as measured by income and DTI, (c) collateral coverage as measured by Loan-to-Value (LTV), and (d) any compensating factors. No Loan Officer may originate credit outside their delegated authority.

2. Scoring Criteria

The table below sets out minimum scoring criteria by product. The unsecured personal loan minimum FICO is 660 with a DTI ceiling of 36%. Residential mortgage origination requires a minimum FICO of 620 and complies with Qualified Mortgage rules including the 43% DTI ceiling. Prime auto loans require a minimum FICO of 700 and a maximum LTV of 110% of invoice price.

Product	Min FICO	Max DTI	Max LTV	Notes
Unsecured personal loan	660	36%	n/a	Co-signer required below 700 FICO
Residential mortgage (QM)	620	43%	80% / 95% w/ PMI	QM safe-harbor
HELOC	680	43%	90%	Combined LTV including 1st lien
Prime auto loan	700	40%	110% invoice	Max term 72 months
Subprime auto loan	580	45%	120% invoice	Senior approval required

Applications that fall short of the table's minimums may proceed only as documented exceptions per Section 5. The DTI ceilings of 36% (unsecured) and 43% (QM mortgage) are the canonical figures cited in both the Credit Risk Assessment Guidelines and the Loan Approval Thresholds wiki pages.

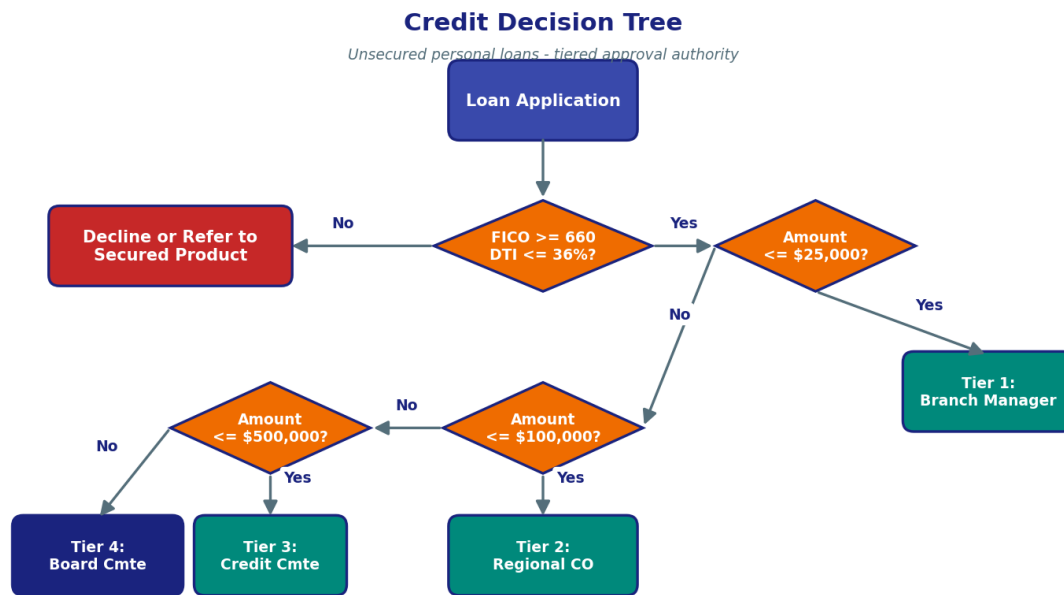
3. Loan Approval Tiers

Approval authority is delegated in four tiers. Tier 1 Branch Managers may approve unsecured credit up to \$25,000. Tier 2 Regional Credit Officers may approve up to \$100,000. Tier 3 Credit Committee approval is required up to \$500,000. Any unsecured exposure above \$500,000 requires Tier 4 Board Credit Committee approval. Secured exposure tiers are 4x the unsecured limits at each level.

Tier	Authority	Unsecured Cap	Secured Cap
T1	Branch Manager	\$25,000	\$100,000
T2	Regional Credit Officer	\$100,000	\$400,000
T3	Credit Committee	\$500,000	\$2,000,000
T4	Board Credit Committee	Above \$500,000	Above \$2,000,000

Each tier-level approver shall sign a credit memorandum referencing the FICO, DTI, LTV, and any compensating factors. Approvers may not approve credit for a Related Party as defined in Section 7.

4. Credit Decision Tree



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Figure 4.1 - Credit decision tree for unsecured personal loans. The diagram shows the initial FICO and DTI gate (FICO ≥ 660 and DTI $\leq 36\%$); applicants failing the gate are declined or referred to a secured product. Approved applicants are then routed by loan amount through the four approval tiers - Branch Manager, Regional Credit Officer, Credit Committee, or Board Credit Committee.

5. Exception Handling

An exception is any credit decision that deviates from the scoring criteria in Section 2 or the tier limits in Section 3. Every exception shall be (a) approved one tier above the tier that would normally hold authority, (b) documented in the Exception Log, and (c) reviewed in aggregate by the Credit Committee on a quarterly basis. The Bank's annual exception rate ceiling is 5% of all originations.

Permissible compensating factors include: documented liquid reserves greater than twelve months of debt service, a guarantor with a minimum FICO of 740, or a loan-to-value ratio below 60% on a secured product. Compensating factors shall be evidenced in the credit file and referenced in the credit memorandum.

6. Ongoing Portfolio Monitoring

The Bank shall monitor every loan continuously for repayment performance, collateral value (for secured loans), and Borrower distress indicators. Loans become delinquent on day 16 (after the 15-day grace period) and shall be classified as non-performing at day 90. Loans 30 days delinquent trigger an outbound collections call; loans 60 days delinquent are referred to the workout team.

Delinquency	Status	Action
1 - 15 days	Grace period	No fee, no action
16 - 29 days	Delinquent	Late fee (\$35); courtesy call
30 - 59 days	Past due	Collections call; payment plan offered
60 - 89 days	Seriously past due	Workout referral; credit bureau update
90+ days	Non-performing	Charge-off review; legal referral

The 15-day grace period, \$35 late fee, and 90-day non-performing threshold are also cited in the Customer Complaint Handling Policy where they intersect with disputed-fee complaints.

7. Glossary

Term	Definition
FICO	Standardized U.S. consumer credit score
DTI	Debt-to-Income ratio - monthly debt obligations / gross monthly income
LTV	Loan-to-Value ratio - loan amount / appraised collateral value
QM	Qualified Mortgage - meets ATR rule, 43% DTI ceiling, no risky features
HELOC	Home Equity Line of Credit
PMI	Private Mortgage Insurance - required when LTV exceeds 80%
Related Party	Bank officer, director, or immediate family member
Workout	Negotiated restructuring of distressed loans

8. Sign-off

This Manual was approved by the Northvale Demo Bank Credit Committee on December 18, 2025 and supersedes all prior versions of the Credit Policy Manual. The next scheduled review is December 2026.

Northvale Demo Bank does not exist. This Manual is fictional and is provided exclusively for the GenAI RAG capstone demonstration.